# MGT402

## Quiz#2

Attempt By HB




✔*HB*

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1. Gross Pay - Statutory deductions - Non-statutory deduction = ?
    a. Commission earned
    b. Net Pay✔$^{HB}$
    c. Income Tax
    d. Basic Pay
2. Which of the following is CORRECT to compute Capacity Variance?
    a. Applied factory overhead (FOH) cost ÷ Estimated FOH cost
    b. Applied factory overhead (FOH) cost + Estimated FOH cost
    c. Applied factory overhead (FOH) cost x Estimated FOH cost
    d. Applied factory overhead (FOH) cost - Estimated FOH cost✔$^{HB}$
3. Factory overhead absorption rate = ?
    a. Fixed overhead rate + variable overhead rate✔$^{HB}$
    b. Fixed overhead rate ÷ variable overhead rate
    c. Fixed overhead rate - variable overhead rate
    d. Fixed overhead rate x variable overhead rate
4. The time worked over and above the employee's basic working week is called as:
    a. Overtime✔$^{HB}$
    b. Commission
    c. Flex time
    d. Shift allowance
5. Suppose that a worker is paid Rs. 100 per hour and he has spent 200 hours to manufacture 250 pieces during

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a particular month. Keeping in view the time-based wage system, total wages of worker would be:

a. Rs. 25000
b. Rs. 20,000✔$^{HB}$
c. Rs. 50,000
d. None of the given options

6. Wage rate per hour= Rs. 62.50

   Time allowed for the job= 16 hours

   Time taken= 12 hours

   Required: Compute bonus amount of the worker under Halsey Premium Plan.

   a. None of the given options
   b. Rs. 875
   c. Rs. 125✔$^{HB}$
   d. Rs. 750

7. Which of the following formula is used to compute gross wages under Halsey Premium Plan?
   a. Gross Wages = (Time worked x wage rate) + ½ (Time saved x wage rate) ✔$^{HB}$
   b. Gross Wages = (Time saved x wage rate) + ½ (Time saved x wage rate)
   c. Gross Wages = (Time worked x wage rate) - ½ (Time saved x wage rate)
   d. Gross Wages = (Time saved x wage rate) + ½ (Time saved x wage rate)

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8. Budgeted variable overhead: Rs 90,000; Budgeted activity level: 30,000 direct labor hours; Fixed factory overhead cost: Rs. 60,000; Actual activity level: 35,000 direct labor hours; Actual variable FOH cost: Rs. 120,000.

   Variable overhead rate: ?

   a. Rs. 3 per direct labor hour ✔$^{HB}$
   b. None of the given options
   c. Rs. 5 per direct labor hour
   d. Rs. 2 per direct labor hour

9. Which of the given equation is CORRECT?
   a. Take home pay = Gross pay - Income tax + Subscriptions to a trade union - Contributions by the employee to a pension scheme.
   b. Take home pay = Gross pay - Income tax - Subscriptions to a trade union + Contributions by the employee to a pension scheme.
   c. Take home pay = Gross pay + Income tax - Subscriptions to a trade union - Contributions by the employee to a pension scheme.
   d. Take home pay = Gross pay - Income tax - Subscriptions to a trade union - Contributions by the employee to a pension scheme. ✔$^{HB}$

10. Wage rate per hour= Rs. 62.50

    Time allowed for the job= 16 hours

    Time taken= 12 hours

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**Required**: Compute bonus amount of the worker under Halsey-Weir premium Plan.

a. Rs. 750
b. Rs. 833.33
c. Rs. 83.33✔$^{HB}$
d. None of the given options

11. All of the following are example(s) of labor turnover EXCEPT:
a. Workers appointed against the vacancy caused due to discharge or quitting of the organization
b. Workers employed under the expansion schemes of the company✔$^{HB}$
c. Workers retrenched
d. The total change in the composition of labor force

12. A worker is paid Rs. 0.50 per unit and he produces 18 units in 7 hours. Keeping in view the piece rate system, the total wages of the worker would be:
a. 18 x 7 x 0.50 = Rs. 63
b. 18 x 7 = Rs. 126
c. 7 x 0.5 = Rs. 3.5
d. 18 x 0.50 = Rs. 9✔$^{HB}$

13. Factory overhead absorption rate = ?
a. (Fixed FOH cost/estimated direct labor hour) ÷ (budgeted variable overhead cost/estimated direct labor hour)
b. (Fixed FOH cost/estimated direct labor hour) - (budgeted variable overhead cost/estimated direct labor hour)

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c. (Fixed FOH cost/estimated direct labor hour) x (budgeted variable overhead cost/estimated direct labor hour)

d. (Fixed FOH cost/estimated direct labor hour) + (budgeted variable overhead cost/estimated direct labor hour) ✔$^{HB}$

14. Which of the following is true when piece rate system is used for wage determination?

a. worker is paid on the basis of production ✔$^{HB}$
b. None of the given options
c. Piece rate system is more beneficial than a guaranteed minimum wage system
d. worker is paid on the basis of time taken by him to perform the work

15. Volume variance will be favorable if:

a. Applied factory overhead cost > Estimated factory overhead cost
b. Estimated factory overhead cost < Actual factory overhead cost
c. Applied factory overhead cost < Estimated factory overhead cost ✔$^{HB}$
d. Estimated factory overhead cost > Actual factory overhead cost

16. Volume variance is also known as:

a. Budgeted variance
b. Under applied variance
c. Capacity variance ✔$^{HB}$
d. Over applied variance

17. Wage rate per hour= Rs. 62.50
Time allowed for the job= 16 hours
Time taken= 12 hours

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Gross earning of the worker under Halsey-Weir premium Plan = ?

a. Rs. 750
b. Rs. 83.33
c. None of the given options ✔$^{HB}$
d. Rs. 833.33

18. If labor force is satisfied with their wages, it may ultimately leads to:
a. Increased efficiency
b. Reduced labor and overhead costs
c. Increased production and productivity
d. All of the given options ✔$^{HB}$

19. Which of the following element must be taken into account while calculating total earnings of a worker under different incentive wage schemes?
a. Units of production
b. Number of workers employed
c. All of the given options ✔$^{HB}$
d. Rate per unit

Wage rate per hour= Rs. 62.50
Time taken= 12 hours
Gross earning of the worker under Halsey Premium Plan = Rs. 875
Effective rate of earning = ?

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e. Rs. 62.5
f. Rs. 875
g. Rs. 72.92✔$^{HB}$
h. None of the given options

20. Which of the following statement(s) is/are correct regarding reasons of variance?
a. Difference between FOH cost budgeted or estimated over which overhead absorption rate and FOH actually incurred.
b. Diffrence between the actual level which company achived and budget level which company determined.
c. All of the given✔$^{HB}$
d. Difference between capacity level over which overhead absorption rate is calculated & capacity level attained.

21. For time keeping and recording working hours of labor, all of the following method(s) is/are used, except?
a. Clock card
b. Time sheet
c. Smart card
d. Store card✔$^{HB}$

22. Which of the given equation is CORRECT?
a. Gross pay =Basic Pay + Overtime payment + Other allowance + Statutory deduction
b. Gross pay =Basic Pay + Overtime payment + Other allowance - Statutory deduction - Non-Statutory deduction
c. Gross pay =Basic Pay + Overtime payment + Other allowance + Non-Statutory deduction

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d. Gross pay =Basic Pay + Overtime payment + Other allowance✔$^{HB}$

23. Suppose that a worker is paid Rs. 200 per hour and he has spent 200 hours to manufacture 250 pieces during a particular month. Keeping in view the time-based wage system, total wages of worker would be:

a. Rs. 40,000✔$^{HB}$
b. Rs. 25000
c. None of the given options
d. Rs. 50,000

24. Wage rate per hour= Rs. 62.50
Time allowed for the job= 16 hours
Time taken= 12 hours
Basic earnings of the worker under Halsey Premium Plan =?

a. None of the given options
b. Rs. 125
c. Rs. 875
d. Rs. 750✔$^{HB}$

25. Which of the following is CORRECT to compute labor turnover rate by using Replacement method?

a. Number of workers replaced during the period - Average number of workers during the period
b. Number of workers replaced during the period + Average number of workers during the period
c. Number of workers replaced during the period ÷ Average number of workers during the period✔$^{HB}$

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d. Number of workers replaced during the period x Average number of workers during the period

26. Wage rate per hour= Rs. 62.50
Time allowed for the job= 16 hours
Time taken= 12 hours
Required: Compute bonus amount of the worker under Halsey Premium Plan.

a. Rs. 750
b. Rs. 875
c. None of the given options
d. Rs. 125✔$^{HB}$

27. Hourly earnings of a worker of manufacturing concern is:
a. Allowance
b. Commission
c. Salary
d. Wages✔$^{HB}$

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